

----- Forwarded by Patrice L Mims/HOU/ECT on 04/03/2001
03:13 PM -----

"Bruce Kohrs" <Bruce_Kohrs@keyspancanada.com> on 04/03/2001 01:06:43 PM
To: dan.j.hyvl@enron.com, <patrice.l.mims@enron.com>
cc: hunters.shively@enron.com, grant.oh@enron.com,
Brian_Houghton/CRESTAR1/Crestar_Energy%Exchange
<Brian_Houghton@keyspancanada.com>,
Michael_Kleiner/CRESTAR1/Crestar_Energy%Exchange
<Michael_Kleiner@keyspancanada.com>, "Jim Pearson"
<Jim_Pearson@keyspancanada.com>, williaxh@bp.com
Subject: Crestar AOS assignment to BP

Dan, Grant Oh suggested I e-mail you directly to notify you of a change that BP needs included. BP states they need to have the volumes/contract number information back from Enron via e-mail by 9:45am MST in order to place nominations by 10:30am MST for the Timely Cycle. If for whatever reason Enron cannot provide the volume/contract number information by 9:45am or Enron fails to take the scheduled volume agreed to at 9:00am; and BP incurs any penalty costs including the price difference between the Enron price and the replacement price, then Enron should be liable for these costs NOT Gulf. I suggest the following options:

- 1) Put back in the default contract number in the Enron/Crestar agreement as we had last week, this way if Enron fails to notify by 9:45am, then Crestar/BP can nominate to the default contract number and Enron can change the contract numbers internally.
- 2) Add a clause to either the Enron agreement or the Gulf assignment agreement to state if Enron fails to inform and/or take, then any penalty costs/price difference incurred by Crestar/BP shall be passed onto Enron.

Please advise what Enron's position is and how we should proceed.

Bruce Kohrs
Phone: (403)205-7684
Fax: (403)266-1947
e-mail:bruce_kohrs@keyspancanada.com